

Capturing CEO Alpha requires rigor in both selection and ongoing development. Development often comes second to selection—a missed opportunity. What happens after the hire can be game changing. A GP should not wait, hoping that a CEO's existing capabilities will be sufficient for the demands of the particular circumstances. Instead, GPs should systematically onboard, support, and develop their operating company leaders.

Based on our work with nearly 300 PE-backed CEOs, as well as research conducted in collaboration with Harvard Business School and [published in Harvard Business Review](#), we have identified a set of leadership practices that consistently distinguish top-performing CEOs. These practices include leading and owning full-potential diligence, building a fit-for-purpose leadership team, rigorously reassessing both cost structures and revenue quality, executing with relentless focus, and treating time as a scarce asset.

Equally as critical as having the right CEO is building a high-performing executive leadership team around them. This ensures bench strength, with a clear succession plan and the right horsepower to drive the value creation thesis. For example, hiring an A-plus chief transformation officer is an often overlooked but critical decision.

4. Geopolitics is now a core consideration on the road ahead.

Operating excellence also requires navigating complex geopolitical currents. Trade fragmentation, reshoring, and regional industrial policy are reshaping supply chains, input costs, and routes to market for many portfolio companies. As holding periods lengthen, the ability to anticipate and actively manage these geopolitical exposures, rather than treat them as episodic shocks, has become an essential part of value preservation and creation.

Key questions for operators

Creating momentum early, and then sustaining it

1. What is the full-potential opportunity when you remove constraints? What does best of the best look like, not just “top quartile”?
2. What would it take for the company to achieve the five-year performance improvement in two years? And how does that change your actions now?
3. Are AI and digital tools embedded into your core value creation levers or still treated as side initiatives that sit outside day-to-day execution?
4. How do you start to prepare for exit now, rather than waiting 12 to 18 months before, particularly given the impact of AI?